Dhandho investment. Here the economics were: Heads, I win a lot; tails, I win a little!

Stewart Enterprises, Level 3, and Frontline are widely differing businesses with virtually nothing in common with each other. Mr. Market created a unifying element in all three. For a few months, it offered us an ultra low-risk, ultra high-return opportunity to invest in these businesses. There was virtually no downside, but tremendous upside. A classic “Heads, I win; tails, I don’t lose much” type bet. Except that the odds of getting heads was way over 50 percent, and if it came up tails, it simply meant that we either broke even or made a little money.

Fear and greed are very much fundamental to the human psyche. As long as humans drive buying and selling decisions in equity markets, pricing will be affected by these fear and greed attributes. When extreme fear sets in, there is likely to be irrational behavior. In that situation, the stock market resembles a theater that is filled to capacity. Someone sees some smoke and yells “Fire, Fire!” There is a mad rush for the exits. In the theater called the stock market, you can only exit if someone else buys your seat—each share has to be held by someone! If there is a mass rush to leave the burning theater, what price do you think these seats would go for? The trick is to only buy seats in those theaters where there is a mass exodus and you know that there is no real fire, or it’s already well on its way to being put out. Read voraciously and wait patiently, and from time to time these amazing bets will present themselves.